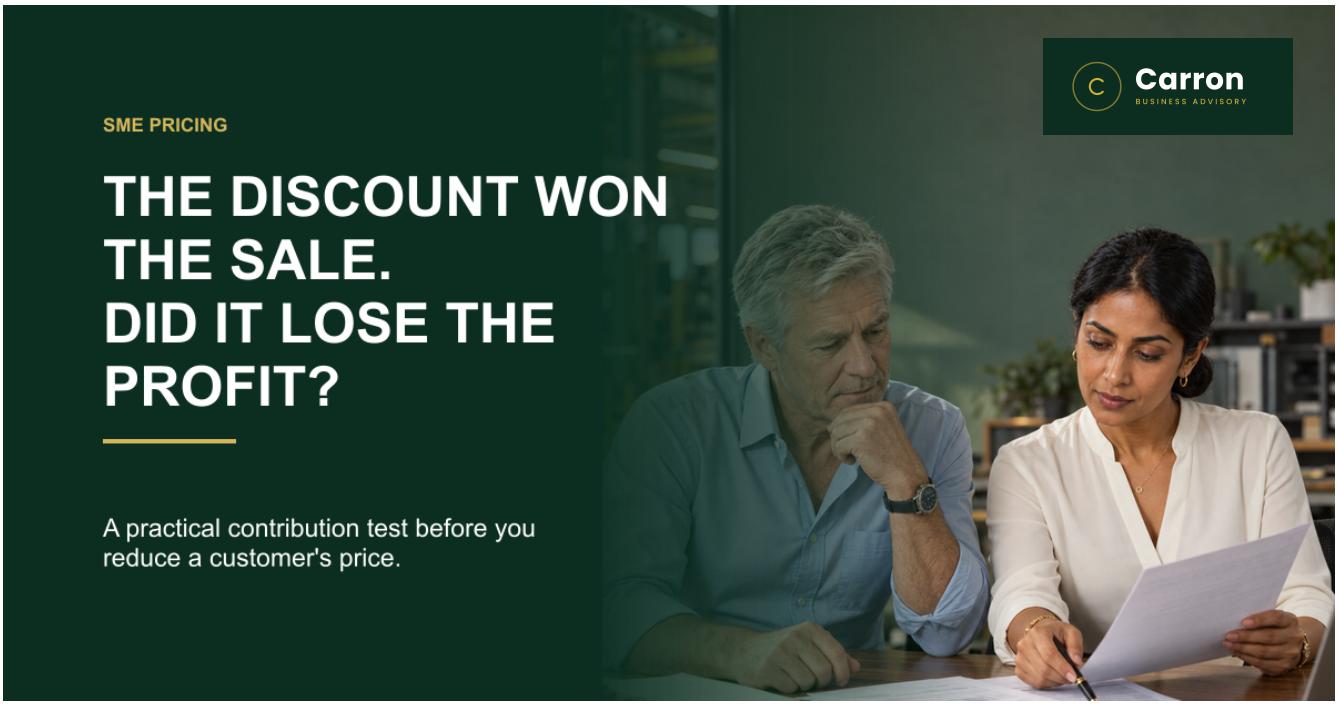


EDUCATIONAL SME BUSINESS REPORT

Executive Summary

The customer asks for five per cent off. The order is attractive, the workshop has some space and the sales team wants to close. Approving the discount feels like a small commercial concession. But the price is not the same thing as the money left to pay overheads.

When the cost of supplying each unit stays the same, a price cut comes directly out of contribution. In the illustration in this report, a 5% price discount reduces contribution per unit by one-sixth. The business needs 20% more units simply to restore the original contribution, before extra capacity or finance costs.

The useful question is not whether discounting is good or bad. It is what the business receives in exchange, whether the extra work is genuinely additional, and whether the promised improvement survives delivery and collection.

DECISION PRINCIPLE

Approve the contribution and cash outcome, not just the discounted turnover.

REPORT INDEX

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A practical contribution test before you reduce a customer's price.

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MAIN ARTICLE

1. Start with the money each order leaves behind

Contribution is the sales value less the costs that change because you accept and fulfil the order. Depending on the business, those can include purchased goods, materials, subcontracting, commissions, packaging and delivery. Contribution then helps pay costs that remain across the business. It is not net profit.

Do not assume the gross margin shown in the accounts is the right decision margin. A delivery charge, card fee or sales commission may sit elsewhere in the accounts but still increase when a sale happens. Conversely, a cost allocated to a unit for reporting purposes may not change with one extra order.

Ask finance and operations to agree the relevant costs before the quote is approved. Use a consistent VAT basis and ask the accountant how recoverable and non-recoverable VAT should be treated in the real calculation. The worked example excludes VAT to keep the commercial comparison clear.

This matters especially when input prices and sales volumes move differently. Stats SA's early-October economic overview describes uneven performance across industries. A headline about stronger sales elsewhere does not establish that your discounted order will be profitable. Use your own current cost and capacity evidence.

2. A small price cut can need a large volume increase

Consider an illustrative supplier selling 100 units at R1,000 each. The relevant variable cost is R700 per unit. Each unit contributes R300, so the order contributes R30,000 before fixed overheads. These are invented business assumptions, not an industry benchmark.

At a 5% discount the price falls to R950. If variable cost remains R700, contribution falls to R250. Selling the same 100 units now contributes R25,000. A R5,000 reduction in revenue has removed R5,000 of contribution.

Restoring R30,000 requires 120 units at R250 contribution each. That is 20% more units, not 5%. At a 10% discount, contribution falls to R200 and the business needs 150 units, or 50% more. At a 15% discount, it needs 200 units, or twice the original volume.

The calculation is: original total contribution divided by contribution per unit after the discount. It assumes the same product mix and variable cost per unit, with no added fixed cost. If discounted contribution is zero or negative, more units cannot restore the old contribution under those assumptions.

MAIN ARTICLE

Worked illustration: the section 2 comparison

Price discount	Contribution per unit	Units for R30,000
0%	R300	100
5%	R250	120
10%	R200	150
15%	R150	200

Illustration only. Read the calculation with the assumptions in section 2.

3. Separate additional business from cheaper existing business

The extra units only help if they would not otherwise have been sold on better terms. A promotion that discounts all existing orders to win a few new ones can damage contribution even when the sales report improves.

Take the same illustration. Suppose the discount produces 110 units instead of 100. Revenue rises to R104,500, compared with R100,000 before. Yet contribution is only R27,500, compared with R30,000. Turnover is up while contribution is down R2,500.

Ask what would happen without the concession. Would the customer buy anyway? Would a smaller order arrive at the normal price? Would the additional sale replace another job using the same limited machine hours? Forecast the alternative honestly rather than treating every discounted sale as newly won business.

A one-off order using genuinely spare capacity can still be commercially sensible. Make its limits clear: which customer, which quantity, which period and which reason. Do not let an exception become the reference price for the next negotiation without reviewing the economics again.

MAIN ARTICLE

4. Count the operational and cash consequences

The simple volume test is a starting point. It becomes misleading if extra volume requires overtime, a second delivery, equipment hire, more supervision or additional storage. Include those incremental costs rather than assuming that every extra unit earns the same contribution.

Cash needs a separate test. In the 5% discount example, 120 units require R84,000 of variable inputs, compared with R70,000 for 100 units. That is R14,000 more input expenditure. How much becomes a cash gap depends on deposits, supplier terms, production timing and customer receipts.

If the customer pays later while inputs are paid sooner, an order that preserves contribution may still require more funding. Put the actual dates into the cash forecast. Do not treat sales revenue as cash available on the day the order is accepted.

Where capacity is scarce, compare contribution per limiting resource, such as machine hour or delivery slot. That does not mean excluding a strategically useful customer. It means recording the commercial reason for choosing lower immediate contribution, rather than hiding the choice inside the sales total.

5. Negotiate something measurable in return

A lower price should normally purchase a clear benefit: a confirmed quantity, fewer deliveries, a standard specification, a deposit, less rework or a simpler service requirement. Identify the benefit before assuming it offsets the discount.

A promise of future volume is weaker evidence than a firm current order. A larger order is not necessarily cheaper to serve if it needs split deliveries or special handling. Earlier payment is only valuable to the extent that it genuinely changes the cash timing; price and settlement discounts should not be counted twice.

Record the normal price, concession, relevant cost, expected volume, cash dates and operating condition. Name the person who can approve the exception and set a review point that fits the order cycle. The record can be short, but it must show the assumptions behind the decision.

For a service business, apply the same discipline to scope. Reducing a fee while leaving unlimited revisions, urgent work and travel untouched is not the same deal as a narrower assignment. Obtain specialist advice where contractual wording or tax treatment needs interpretation.

MAIN ARTICLE

6. Test the result after the order is delivered

Compare actual contribution with the expectation. Check realised price after rebates and credit notes, actual delivery and rework costs, extra capacity costs and the date cash reached the bank. A booked order is not yet a completed commercial result.

Review whether the discount brought genuinely additional volume or simply lowered the price of the existing order book. Check whether other customers now expect the same terms. These are possible consequences to investigate, not automatic outcomes of every promotion.

Owner questions: What is the contribution at the new price? How many extra units are required? Is that volume credible? What bottleneck or cash gap could it create? What benefit are we receiving in exchange? What result would cause us to stop or change the offer?

Use a narrow trial where practical. A discount with a defined quantity, duration and review is easier to assess than a permanent price reduction based on enthusiasm about turnover. Keep the evidence that would justify renewing it.

Closing perspective

A discount can be a sensible commercial investment. It can also buy work that makes the business busier without making it stronger. The difference lies in the contribution, the alternative use of capacity and the cash needed to deliver. Before approving a lower price, write down the result it must produce. After delivery, check whether it did.

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Advice notice

General business and financial education only. Examples are illustrative, not benchmarks. This report does not provide HR, labour-law, legal or personalised tax advice. Obtain appropriate professional advice for contractual, tax, accounting, technical and facility-specific decisions.

PRACTICAL TOOL

Discount Approval Record

Use this record before approval. Add actual results and the review decision afterwards.

Decision field	Record before approval
Customer and offer	Customer, product/service, quantity and expiry Record: _____
Normal economics	Price, relevant variable cost and total contribution Record: _____
Discounted economics	New price, contribution and units needed to recover it Record: _____
Additionality	What would happen without the discount? Record: _____
Capacity and cash	Bottleneck, incremental costs and cash dates Record: _____
Return for concession	Confirmed benefit and evidence Record: _____
Approval and review	Owner, approval date, actual result and next decision Record: _____

Use verified company inputs. This management record does not replace specialist advice or the underlying source records.